

Marvell Technology, Inc.

MRVL NASDAQ

Hold	\$165.94 ▼ 4.89%	12M Price Target \$185.00	52-Week Range \$61.44 – \$329.88	Market Cap \$148.93B
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MRVL: AI Chip Selloff Hits Hard, But Story Intact

WHAT HAPPENED

- MRVL is down ~21% in five trading days — this isn't company-specific, it's an AI chip sector unwind. Micron and SK Hynix got smoked yesterday too, meaning the whole memory/AI silicon complex is repricing. When a stock falls 5% on light volume (7M shares vs 20M+ prior days), it usually signals sellers are exhausted but buyers aren't stepping up yet.
- The India expansion news (bigger R&D bet) is a strategic positive nobody's paying attention to right now — it's a hedge against China exposure and taps cheaper engineering talent, but the market is in "sell first, think later" mode.

WHY IT MATTERS

This selloff looks more like a sentiment washout than a fundamentals break — Teradyne (TER) just guided AI demand "robust into 2027" and the Nvidia narrative is still intact, so if MRVL's custom silicon business (they make chips for Amazon's Trainium and reportedly Microsoft) is on track, this is a discount, not a broken thesis. That said, the fact that institutions still hold 85.5% means there's plenty of ammo for more selling if a big fund decides to trim AI exposure — you're not at the bottom just because it feels ugly. The unusual call buying at \$172.50 tells me smart money is betting on a bounce near current levels, but they're buying short-dated calls (July/Aug), which means they're playing a bounce, not a trend reversal. Watch for MRVL earnings in late August — that's the real catalyst that either confirms the AI capex story or breaks it.

POLICY & POLITICAL WATCH

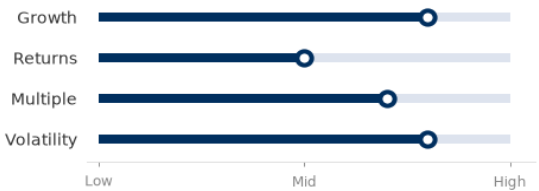
The big overhang is the Commerce Department's ongoing tightening of chip export rules to China — Marvell has meaningful China revenue exposure (roughly 40%+ historically through its networking business), so any expansion of the entity list or new licensing requirements hits directly. On the flip side, the CHIPS Act reauthorization discussions and the administration's push for domestic AI infrastructure spending are structural tailwinds — if the rumored "AI Sovereignty" executive order materializes (federal agencies mandated to use US-designed AI silicon), Marvell's custom ASIC business benefits alongside Nvidia and Broadcom. The India pivot is also a direct response to the "friend-shoring" policy environment — expect more of this from US chip companies.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$165.94
12M Price Target	\$185.00
Upside / (Downside)	+11.5%
Market Cap	\$148.93B
FY2026E Revenue	\$7,850M
FY2027E Revenue	\$10,200M
FY2026E EPS	\$2.85
FY2027E EPS	\$4.10
Fwd P/E	58.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



MRVL — Marvell Technology, Inc. | July 29, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$190.00	\$172.00	\$150.00
6 Months	\$230.00	\$195.00	\$145.00
1 Year	\$280.00	\$210.00	\$140.00
2 Years	\$350.00	\$260.00	\$150.00
5 Years	\$500.00	\$340.00	\$180.00
10 Years	\$800.00	\$500.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.6%) leading — likely a rotation trade as investors dump high-multiple tech for cash-flow-heavy names. Healthcare and Staples up on the week signals a defensive tilt.

COOLING OFF: Semiconductors and AI infrastructure — this is a valuation reset, not a demand break, but the tape is ugly. Comm Services also soft.

ROTATION WATCH: Money is clearly moving from AI/growth into defensives and energy — that's a "de-risking" move usually seen ahead of earnings uncertainty or macro nerves. If this rotation runs another week, MRVL sees more pressure regardless of fundamentals.

RELATED PLAY: If you believe the AI capex story survives this shakeout, the picks-and-shovels names like Applied Materials (AMAT) and Lam Research (LRCX) get dragged down with MRVL but recover with less single-customer risk. Also worth watching Astera Labs (ALAB) — a smaller, purer AI connectivity play that moves with MRVL.

WHO'S WINNING IN THIS SPACE?

- TER (Teradyne): Up on Q2 beat and confident 2027 AI guidance — shows the demand story isn't broken, just the multiples
- NVDA (Nvidia): Holding up better than peers because it's the "must-own" AI name and analysts keep pounding the table on it

MRVL CONTEXT: MRVL is lagging its peer group meaningfully in this selloff — that tells me the market is worried about something specific (likely China exposure or custom silicon customer concentration) beyond just sector-wide fear. Underperformance on the way down often means underperformance on the way up too, until they prove otherwise on earnings.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$150-160 on continued weakness

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium or Google TPU custom silicon business, or China export ban expansion

Hedging: Pair with SOXS or short a richer AI name like AVGO on rallies